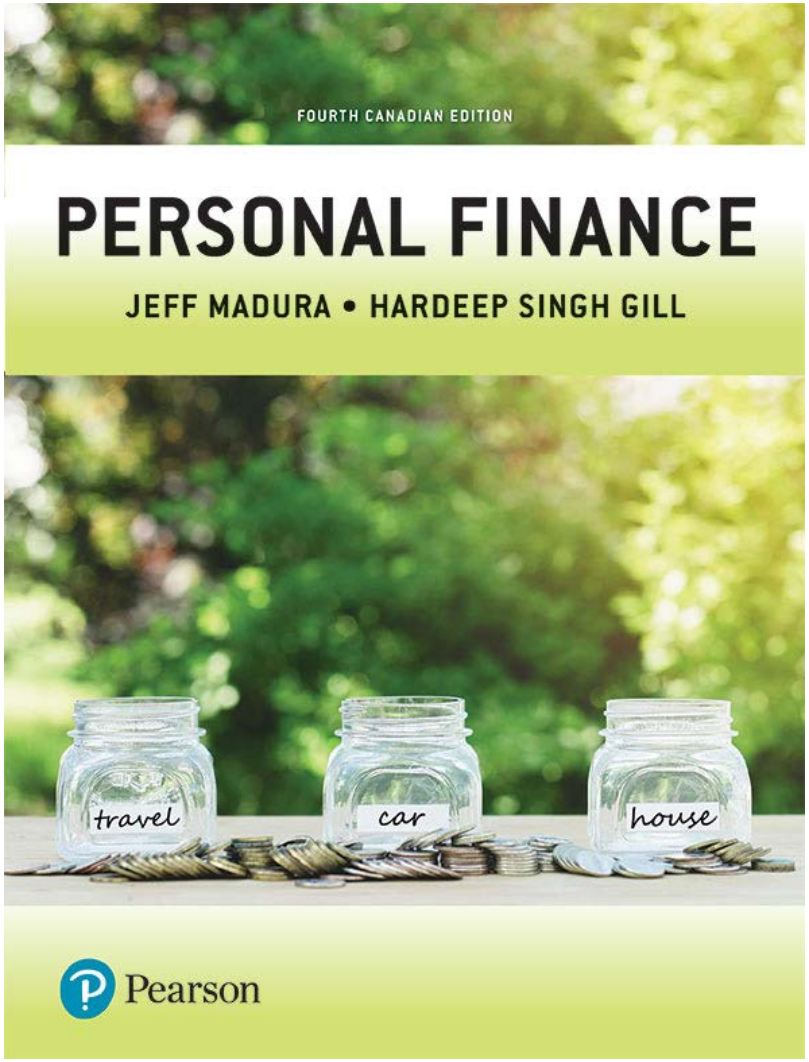
Personal Finance

Fourth Canadian Edition



Chapter 7

Purchasing and Financing a Home

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How Much Can You Afford?

- Consider budget, down payment (5-20%) and mortgage
- Pre-approval certificate: guideline on how large a mortgage you can afford with rate guarantee
- Gross debt service (GDS) ratio: your monthly mortgage-related debt payments–including mortgage loan repayments, heating costs, property taxes, and half of any condominium fees–divided by your total monthly gross household income- 32% or less
- Total debt service (TDS) ratio: your mortgage-related debt payments plus all other consumer debt payments divided by your total monthly gross household income- 40% or less

As of July 1st, 2020, the CMHC implemented new GDS and TDS limits for mortgages that it insures. The new GDS/TDS limits for CMHC-insured mortgages is 35/42.

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GDS and TDS Example (1 of 2)

Blake and Donna Braithwaite have asked their bank to help them determine whether they qualify for a mortgage on a $375 000 home on which they would like to make an offer. The couple will make a down payment of $75 000 and the mortgage will be amortized over 25 years. As part of its initial assessment, the bank has to calculate the couple's GDS and TDS ratios. The current five-year fixed mortgage interest rate is 6 percent, compounded semi-annually. Based on its discussion with the couple, the bank gathers the following additional information:

Blake's monthly gross income = $3500

Donna's monthly gross income = $3500

Monthly mortgage payment = $1919*

Monthly heating costs = $120

Monthly property taxes = $250

Monthly consumer debt payment = $500

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GDS and TDS Example (2 of 2)

*The required information and calculator steps for the monthly mortgage payment will be discussed later in this chapter.

GDS = ($1919 + $120 + $250) ÷ $7000 = 0.3270 × 100 = 32.70%

TDS = ($1919 + $120 + $250 + $500) ÷ $7000 = 0.3984 × 100 = 39.84%

The GDS ratio actually exceeds the previously stated max (though by only 0.7%). Based on this initial assessment, it appears that they are eligible for a mortgage. The Braithwaites have qualified for their mortgage based on the current five-year fixed mortgage interest rate. If they are able to negotiate a lower rate than this, their financial position will be even better since their monthly mortgage payment will be less than the $1919 they were required to use as part of their GDS and TDS ratio calculations.

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Affordable Down Payment

- What is the market value of the assets you will use to make your down payment?
- Maintain some funds for liquidity purposes to cover unanticipated bills and closing costs
- The Home Buyer's Plan (HBP) can help first-time home buyers reach their goals
  - Allows each home buyer to "borrow" up to $35k from their Registered Retirement Savings Pan (RRSP), interest-free with up to 15 years to pay back this "loan"

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Affordable Monthly Mortgage Payments

- Refer to your cash flow statement
- Replaces a rent payment but there are other periodic expenses to consider
- The larger your mortgage payments,
  - the less you can add to your savings/investments,
  - the lower your liquidity, and
  - the greater your overall financial risk
- Watch overbuying!

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Transaction Costs of Purchasing a Home (1 of 2)

- Down Payment
  - Represents your equity investment in the home
  - Conventional mortgage: a mortgage where the down payment is at least 20 percent of the home's appraised value
    - Lender bears the risk that you may default on the loan
    - Down payment provides a cushion in situations where the lender has to repossess the home and sell it

Free App: *Ready Set Home*

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Transaction Costs of Purchasing a Home (2 of 2)

- High ratio mortgage: a mortgage where the down payment is less than 20 percent of the home's appraised value
  - Cushion provided by the down payment is lower
  - Lender will require that your mortgage be insured
    - In the event of default, a mortgage insurer insures a high ratio mortgage, thereby protecting the lender's investment
    - Mortgage loan insurance premium may be paid immediately by the borrower, or add to the mortgage

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CMHC Mortgage Loan Insurance Costs

Exhibit 7.1 CMHC Mortgage Loan Insurance Costs

Loan-to-Value Ratio	Standard Premium
Up to and including 65%	0.60%
Up to and including 75%	1.70%
Up to and including 80%	2.40%
Up to and including 85%	2.80%
Up to and including 90%	3.10%
Up to and including 95%	4.00%
90.01% to 95% − Non-Traditional Down Payment	4.50%

Source: Based on Canada Mortgage and Housing Corporation. https://www.cmhc-schl.gc.ca/en/co/moloin/moloin_005.cfm

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Sources for a Traditional Down Payment:

- Own savings
- RRSP HBP withdrawal
- Non-repayable gifts from a parent
- Money from the sale of another property

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Sources for a Non-Traditional Down Payment

- Borrowed money
- Gifts
- Lender cashback incentives

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Vendor Take-Back Mortgage

- a mortgage where the lender is the seller of the property
  - Buyer makes mortgage payments directly to the seller
  - Property title transfers to the buyer
  - If the buyer defaults on mortgage payments, the property transfers back to the seller
  - Alternative to a high ratio mortgage

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Closing Costs (1 of 2)

- Home Inspection Fee
- Appraisal Fee
- Real Property Report/Land Survey
- Land Transfer Tax (levied in Ontario, B.C., Manitoba, Nova Scotia, & Quebec)
- Legal Fees and Disbursements

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Closing Costs (2 of 2)

- GST/HST(paid on the purchase of a brand new home)
- Title Insurance
- Interest Adjustment
- Prepaid Property Tax and Utility Adjustments
- Homeowner’s Insurance
- Loan Protection Life and Disability Insurance

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Examples of Closing Costs and Their Cost

Exhibit 7.3 Examples of Closing Costs and their Approximate Cost

Cost	Who Takes Care of It?	Approximate Cost
Home inspection fee	Buyer	$350–$600
Appraisal fee	Buyer	$300–$500
Real property report/land survey	Lawyer	$1000–$2000
Legal fees and disbursements	Lawyer	$500–$1000
GST/HST	Lawyer	5%–15%
Title insurance	Lawyer	$300–$400
Interest adjustment	Lawyer	$100–$1000
Prepaid property tax and utility adjustments	Lawyer	$300–$500
Homeowner’s insurance	Buyer	$700–$1000
Loan protection life and disability insurance	Buyer	Costs vary based on age of applicant(s)

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Mortgage Options

- Amortization Period - the expected number of years it will take a borrower to pay off the entire mortgage loan balance (max is 25 years, or 300 months)
- Mortgage term- the period of time over which the mortgage interest rate and other terms of the mortgage contract will not change (6 months and 1, 2, 3, 4, 5 and 10 years)
- Payment Frequency- the frequency with which you make a mortgage payment

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Mortgage Payment Option Calculations

Exhibit 7.4 Mortgage Payment Option Calculations

Mortgage Payment Frequency	Number of Payments per Year	Calculation
Monthly	12	
Semi-monthly (twice per month)	24	Monthly payment ÷ 2
Biweekly (every two weeks)	26	(Monthly payment × 12) ÷ 26
Accelerated biweekly	26	Monthly payment ÷ 2
Weekly (every week)	52	(Monthly payment × 12) ÷ 52
Accelerated weekly	52	Monthly payment ÷ 4

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Time and Interest Savings Example

Exhibit 7.5 Time and Interest Savings for a $250 000 Mortgage, Amortized over 25 Years at an Interest Rate of 6% Compounded Semi-Annually

Mortgage Payment Frequency	Periodic Payment Amount	Number of Months to Pay Down Mortgage	Interest Paid	Interest Saved
Monthly	$1600	300	$229 855	$0
Semi-monthly	800	299	228 505	1350
Biweekly	738	299	228 401	1454
Accelerated biweekly	800	252	187 315	42 540
Weekly	369	299	227 781	2074
Accelerated Weekly	400	252	186 822	43 033

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Mortgage Type

- Closed mortgage: restricts your ability to pay off the mortgage balance during the mortgage term unless you are willing to pay a financial penalty
  - More popular due to lower interest rates (but consider lack of prepayment privileges)
- Open mortgage: allows you to pay off the mortgage balance at any time during the mortgage term

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Characteristics of a Fixed-Rate Mortgage
(1 of 2)

- A mortgage in which a fixed interest rate is specified for the term of the mortgage
- Preferred during rising interest rates
- Lenders usually willing to negotiate below posted rates

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Amortization Schedule

- Discloses the monthly payments you will make based on:
  - a specific mortgage amount,
  - a fixed interest rate, and
  - an amortization period
- Allocation of the Mortgage Payment
  - each payment includes repayment of a portion of the principal of the loan and an interest payment

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Characteristics of a Fixed-Rate Mortgage

- Impact of the Mortgage Amount on the Monthly Payment (large mortgage = larger mortgage payment)
- Impact of the Interest Rate on the Monthly Payment (high interest rate = larger mortgage payment)
- Impact of the Amortization Period on the Monthly Payment (longer amortization = lower payments but more interest payable in total)

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Characteristics of a Variable-Rate Mortgage
(1 of 2)

- The interest charged on the loan changes in response to movements in a specific market-determined interest rate (prime rate)
- Can be open or closed
- Convertible mortgage allows you to renew your mortgage, before the and of the current mortgage term, without paying a penalty (‘lock in’ during rising rates)

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Characteristics of a Variable-Rate Mortgage
(2 of 2)

- Interest Rate Index
  - Initial mortgage rate will be adjusted to stay in line with the prime rate of interest
  - Rate is set at prime plus a certain number of percentage points

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Decision to Own versus Rent a Home (1 of 2)

- Financial assessment of owning a home versus renting can be performed objectively and the consider personal preferences
  - Costs of Renting:
    - Monthly Rent Payments
    - Opportunity Cost of Security Deposit
    - Renter's Insurance

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Decision to Own versus Rent a Home (2 of 2)

- Costs of Owning:
  - Down Payment
  - Monthly Mortgage Payments
  - Opportunity Cost of the Down Payment
  - Closing Costs
  - Maintenance and Repair Costs
  - Property Taxes
  - Homeowner’s Insurance

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Mortgage Refinancing (1 of 2)

- Paying off an existing mortgage with a new mortgage that has a lower interest rate (not equal to a convertibility feature)
- You will incur closing costs again and prepayment penalties
- Savings on your monthly mortgage payments may exceed these costs and penalties

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